HD Korea Shipbuilding & Offshore Engineering (009540 KS)

6% year-end shareholder return yield

Yong-min Kim
Shipbuilding/Auto
yongmin.kim@yuantakorea.com

BUY (M)

Target price	W463,000 (Down)
Previous target price	W532,000
Current price (Oct 28)	W241,500
Upside potential	92%

Market cap (Wbn)	17,092
Shares outstanding	70,773,116
Avg daily T/O (2M, Wbn)	59
Avg daily volume (2M, shrs)	178,983
52-week high/low (won)	479,500 / 241,500
Foreign ownership (%)	33.54%
Dividend yield (%)	0.00%
Major shareholders	HD Hyundai & others

Stock performance

(%)	1M	3M	12M
Absolute	(27.3)	(31.8)	(47.5)
Relative	(16.6)	(31.7)	(65.0)
Abs (US$)	(25.8)	(25.4)	(43.6)

1Q-3Q26 cumulative NP of W2.76tn; if 2026 NP reaches just W3.7tn…

Of the W2.76tn in cumulative net profit attributable to controlling interest recorded over 1Q-3Q26, 3Q26 accounted for just W623.5bn, versus W1.3tn in 2Q26. Most of the non-operating losses in 3Q26 were FX-related, driven by the sharp decline in the quarter-end USD/KRW rate (-W192, -12.4% QoQ). We therefore expect limited volatility in non-operating results from quarter-end exchange rate movements in 4Q26. Our 2026 net profit forecast of W3.7tn is reasonable compared with the Bloomberg consensus of W3.8tn.

Maintaining 40% total payout ratio would imply 5.9% year-end yield

EPS of over W52,000 implies shareholder returns of more than W20,800 per share. Even after deducting the interim DPS of W6,500 paid in 1H26, this leaves capacity for year-end shareholder returns of W14,300 per share, equivalent to a 5.9% yield based on the closing share price. Notably, interim DPS increased from W3,200 in 2025 to W6,500 in 1H26. Expected shareholder returns over the next 12 months therefore comprise this 5.9% yield plus at least another W6,500 per share.

Improved parent finances; MASGA investment follows careful deliberation

HD Hyundai, which needed to bolster its cash position, issued EBs exchangeable into HD Hyundai Marine Solution shares. This has eased the parent's debt repayment burden—and, in turn, pressure on HD KSOE to increase dividends—leaving ample scope for share buybacks and cancellations consistent with our existing corporate governance thesis. HD KSOE also has ample available cash following its issuance of EBs exchangeable into HD Hyundai Heavy Industries shares in 1H26. It is therefore positioned to fund the US joint-venture shipyard project approved after extensive deliberation.

Maintain BUY; lower TP reflects declines in listed subsidiaries' market cap

We revise down our target price to W463,000 to reflect declines in the market capitalizations of consolidated listed subsidiaries, to which we apply a 50% discount. Amid the sector's sharp share price correction, HD KSOE's shareholder return yield provides a valuation-based floor, limiting downside. Potential rerating catalysts include: 1) greater visibility on US shipyard investment; 2) a positive surprise in shareholder returns; and 3) further monetization of stakes in affiliates in 1H27.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	8,286	9.3	-7.2	8,508	-2.6
OP	1,447	37.3	-12.0	1,569	-7.8
Pre-tax net profit	1,083	-4.9	-49.9	1,668	-35.1
Net profit, CI	624	-1.5	-51.6	951	-34.4
OPM (%)	17.5	+3.6 %pt	-0.9 %pt	18.4	-0.9 %pt
NPM (%)	7.5	-0.9 %pt	-6.9 %pt	11.2	-3.7 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	25,539	29,933	34,341	36,598
OP	1,434	3,904	5,987	8,135
Net profit, CI	1,172	2,168	3,689	4,820
P/E (x)	9.5	9.9	4.6	3.5
P/B (x)	1.0	1.6	1.0	0.8
EV/EBITDA (x)	6.5	4.4	2.1	1.3
ROE (%)	11.2	17.8	24.5	25.6

Source: Yuanta Securities

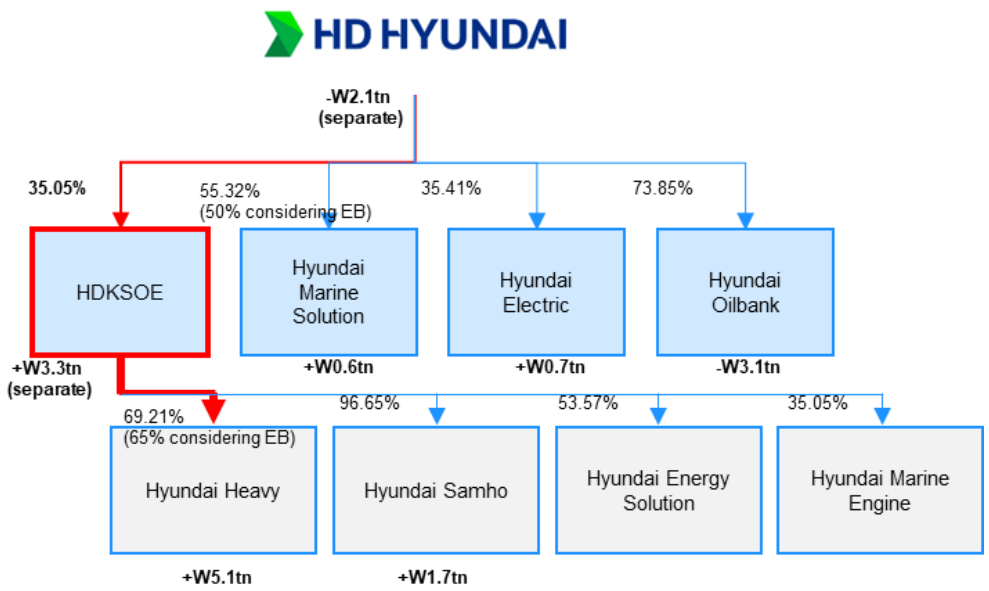
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

HDKSOE: valuation and target price

	FY2026E
HD Hyundai Heavy Industries market cap (Wbn)	29,914
Ownership stake	69.2%
HD Hyundai Marine Engine market cap (Wbn)	1,390
Ownership stake	35.1%
HD Hyundai Energy Solutions market cap (Wbn)	946
Ownership stake	53.6%
Discount	50%
Value of stakes in listed subsidiaries (Wbn)	**10,849**
Fair value of HD Hyundai Samho (Wbn)	**18,610**
Net cash (Wbn)	**3,300**
Fair equity value (Wbn)	**32,759**
Shares outstanding ('000 shares)	70,773
Target price (W)	463,000

Source: Yuanta Securities

HD Hyundai Group: corporate governance structure and cash positions as of 3Q26



Source: company data, Yuanta Securities

HDKSOE (009540 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**25,539**	**29,933**	**34,341**	**36,598**	**37,981**
Cost of sales	22,943	24,605	26,664	26,698	28,471
Gross profit	2,595	5,328	7,677	9,900	9,510
SG&A	1,161	1,424	1,690	1,764	1,944
Operating profit	**1,434**	**3,904**	**5,987**	**8,135**	**7,566**
EBITDA	1,960	4,488	6,581	8,738	8,178
Non-operating profit	389	-338	745	660	457
Forex gains	858	-278	1,020	520	200
Net interest income	7	96	209	324	441
Equity-method gains	0	0	0	0	0
Other	-477	-157	-484	-184	-184
Net prof before income tax	1,823	3,566	6,732	8,795	8,024
Income tax	368	638	1,750	2,287	2,086
Net profit from continuing ops	1,455	2,928	4,982	6,509	5,938
Net profit from discontinued ops	0	0	0	0	0
Net profit	1,455	2,928	4,982	6,509	5,938
NP for controlling interest	**1,172**	**2,168**	**3,689**	**4,820**	**4,397**
Total comprehensive income	1,275	3,196	5,250	6,776	6,205
Total comprehensive income, CI	1,055	2,356	3,870	4,996	4,575

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**20,431**	**23,424**	**27,072**	**31,538**	**35,332**
Cash & cash equivalents	3,717	3,742	6,688	10,506	13,630
Accounts receivables & other	1,634	1,803	1,968	2,042	2,091
Inventory	2,232	2,766	2,849	2,906	3,016
Non-current assets	16,288	16,118	16,354	16,551	16,704
Tangible assets	11,111	12,025	12,157	12,278	12,389
Investment in affiliates	257	206	223	240	250
Other investment assets	1,916	1,391	1,505	1,587	1,642
Total assets	**36,719**	**39,542**	**43,426**	**48,089**	**52,036**
Current liabilities	19,325	20,011	19,071	18,001	17,571
Accounts payable & other	3,884	4,315	4,703	4,985	5,174
ST financial liabilities	187	97	97	97	97
Liquid LT liabilities	375	155	155	155	155
Non-current liabilities	3,238	2,623	2,656	2,674	2,684
LT financial liabilities	202	40	40	40	40
Debentures	652	752	752	752	752
Total liabilities	**22,563**	**22,634**	**21,727**	**20,675**	**20,255**
Equity, controlling interest	11,099	13,286	16,783	20,810	23,636
Paid-in capital	354	354	354	354	354
Capital surplus	2,600	3,017	3,017	3,017	3,017
Retained earnings	15,084	16,668	19,897	23,656	26,214
Equity, non-controlling interest	3,056	3,622	4,915	6,604	8,145
Total equity	**14,156**	**16,908**	**21,698**	**27,414**	**31,781**
Net debt	**-1,533**	**-5,200**	**-8,330**	**-12,295**	**-15,555**
Total debt	5,306	3,677	3,646	3,606	3,577

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**4,289**	**4,422**	**7,451**	**10,811**	**11,080**
Net profit	1,455	2,928	4,982	6,509	5,938
Depreciation & amortization	504	556	568	579	589
Forex gains	0	0	-1,020	-520	-200
Affiliate investment gains	61	8	0	0	0
Increase in net working cap	2,369	-143	448	472	383
Other	-100	1,073	2,474	3,772	4,370
Investing cash flow	**-1,233**	**-3,604**	**-1,109**	**-1,031**	**-997**
Investment	74	-9	-130	-100	-64
Increase in tangible assets	-891	-947	-700	-700	-700
Decrease in tangible assets	24	32	0	0	0
Other	-440	-2,680	-279	-231	-233
Financing cash flow	**-2,359**	**-792**	**645**	**1,922**	**506**
ST financial liabilities	413	-783	-31	-40	-29
Debenture/LT financial liabilities	-89	-846	0	0	0
Equity	140	417	0	0	0
Cash dividend	-1	-715	-460	826	-601
Other cash flow	-2,821	1,136	1,136	1,136	1,136
Consolidation adj and other	2	-1	-4,042	-7,883	-7,465
Increase in cash & equivalents	**699**	**25**	**2,946**	**3,818**	**3,124**
Beginning cash & equivalents	3,018	3,717	3,742	6,688	10,506
Ending cash & equivalents	3,717	3,742	6,688	10,506	13,630
NOPLAT	1,434	3,904	**5,987**	**8,135**	**7,566**
FCF	**3,398**	**3,475**	**6,751**	**10,111**	**10,380**

Valuation

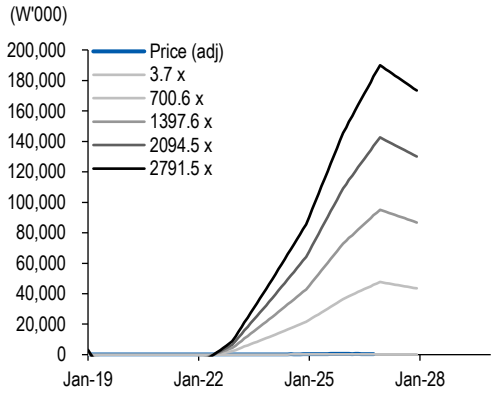
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	16,565	30,639	52,122	68,098	62,123
BPS (won)	156,961	187,883	237,336	294,278	334,239
EBITDA/shr (won)	27,692	63,415	92,983	123,469	115,548
SPS (won)	360,851	422,946	485,224	517,113	536,657
DPS (won)	5,100	3,200	13,500	24,000	28,000
P/E (x)	**9.5**	**9.9**	**4.6**	**3.5**	**3.9**
P/B (x)	**1.0**	**1.6**	**1.0**	**0.8**	**0.7**
EV/EBITDA (x)	**6.5**	**4.4**	**2.1**	**1.3**	**1.2**
P/S (x)	**0.4**	**0.7**	**0.5**	**0.5**	**0.5**

Key financial data

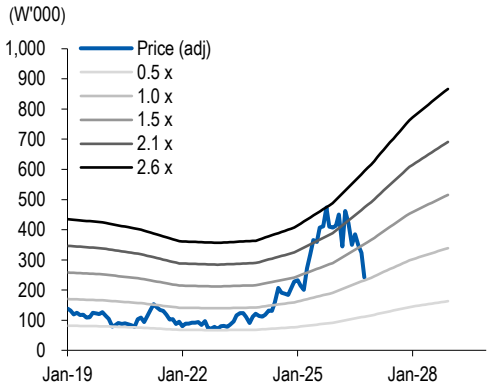
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**19.9**	**17.2**	**14.7**	**6.6**	**3.8**
Operating profit (%YoY)	**408.1**	**172.3**	**53.3**	**35.9**	**-7.0**
Net profit, CI (%YoY)	**428.8**	**85.0**	**70.1**	**30.7**	**-8.8**
Gross margin (%)	10.2	17.8	22.4	27.0	25.0
Operating margin (%)	**5.6**	**13.0**	**17.4**	**22.2**	**19.9**
Net margin, CI (%)	4.6	7.2	10.7	13.2	11.6
EBITDA margin (%)	7.7	15.0	19.2	23.9	21.5
ROIC (%)	13.7	39.1	48.5	56.0	46.2
ROA (%)	3.4	5.7	8.9	10.5	8.8
ROE (%)	**11.2**	**17.8**	**24.5**	**25.6**	**19.8**
Debt-to-equity (%)	159.4	133.9	100.1	75.4	63.7
Net debt-to-equity (%)	-13.8	-39.1	-49.6	-59.1	-65.8
OP/financing cost (x)	7.0	24.6	46.3	63.5	59.6

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

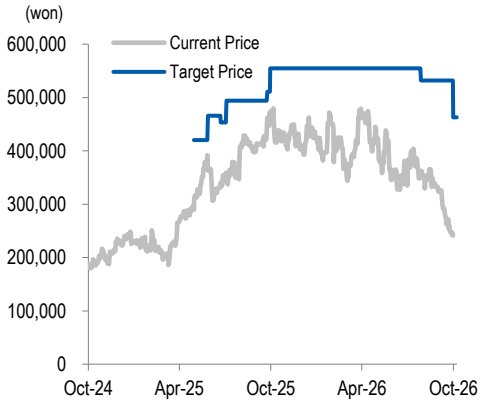
P/E band chart



P/B band chart



HD Korea Shipbuilding & Offshore Engineering (009540 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/29	BUY	463,000	1 yr		
2026/08/25	BUY	532,000	1 yr	-40.81	-31.30
2025/10/28	BUY	555,000	1 yr	-26.49	-13.60
2025/10/22	BUY	511,000	1 yr	-10.89	-7.44
2025/08/01	BUY	494,000	1 yr	-19.78	-11.23
2025/07/21	BUY	453,000	1 yr	-23.39	-20.75
2025/06/25	BUY	466,000	1 yr	-28.06	-21.46
2025/05/28	BUY	420,000	1 yr	-17.46	-6.67
2025/02/25	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 29, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)